

- Aims of regulation:** (LOCC)
- correct market inefficiencies + promote efficient and orderly markets
 - protect consumers of financial products
 - maintain confidence in financial system
 - help reduce financial crimes

Direct Costs	Indirect Costs
Administering reg. Regulator costs: (CEMO) - operating regulatory framework - collecting + examining information - monitoring activities Firm costs: (IMICS) - comply with regulations - maintain records - collating requisite information - supplying information to regulator Borne by investor: - higher taxes - higher charges + fees for financial services	change in behaviour to react to regulations → Firms: less care in choice of financial services/providers WHY? feel protection of regulation reduces adverse consequences of not doing so Indirect costs: - sense of diminished professional responsibility in intermediaries and advisors - reduction in consumer protection mechanisms developed by the market - reduced product innovation - reduced competition

CHAPTER 8: REGULATION OF FINANCIAL SERVICES

Regulatory regimes:

Unregulated market	Costs > benefits ↳ Subject to general trading + other laws						
Voluntary codes of conduct	valuable to: - lack of public confidence - few 'rogue' operators ↳ may lead to breakdown of the system						
Self-regulation	organised + operated by participants of the market without government intervention <table border="1"> <thead> <tr> <th>(PMA)</th><th>(LCC)</th></tr> <tr> <th>Advantages</th><th>Disadvantages</th></tr> </thead> <tbody> <tr> <td> - implemented by people with greatest knowledge of the market → max benefit, min cost - rapid response to changes in market needs - easier to persuade firms to co-operate </td><td> - closeness of regulator to industry may lead to siding with the industry - consumer lack of confidence - inhibit new entrants into the market </td></tr> </tbody> </table>	(PMA)	(LCC)	Advantages	Disadvantages	- implemented by people with greatest knowledge of the market → max benefit, min cost - rapid response to changes in market needs - easier to persuade firms to co-operate	- closeness of regulator to industry may lead to siding with the industry - consumer lack of confidence - inhibit new entrants into the market
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Statutory regulation	Government sets out rules and polices them <table border="1"> <thead> <tr> <th>(ACE)</th><th>(CAIED)</th></tr> <tr> <th>Advantages</th><th>Disadvantages</th></tr> </thead> <tbody> <tr> <td> - less open to abuse - commands higher degree of public confidence - removes economic, of scale • capital adequacy • product sales • security trading </td><td> - outsiders may impose costly rules that don't meet aim - govern attempt to improve market efficiently usually fail - costly + inflexible - slower response to market changes - financial service reg: financial good best developed market </td></tr> </tbody> </table>	(ACE)	(CAIED)	Advantages	Disadvantages	- less open to abuse - commands higher degree of public confidence - removes economic, of scale • capital adequacy • product sales • security trading	- outsiders may impose costly rules that don't meet aim - govern attempt to improve market efficiently usually fail - costly + inflexible - slower response to market changes - financial service reg: financial good best developed market
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mixed regime							

Forms of regulation:

① Prescriptive	detailed rules setting out what may or may not be done → Greater costs
② Freedom of Action	Includes rules on publicity so 3 rd parties are fully informed about providers of financial services → publish sufficient info; regulator determines if properly managed
③ Outcome based	FoA but prescribe tolerated outcomes